

Options and futures are powerful instruments that allow traders to participate in price movements with leverage, hedge existing positions, and express more nuanced market views than simple stock ownership allows. Understanding how they work before using them is not optional — these instruments can lose value in ways that shares cannot, and they can do so very quickly.

CONCEPT 1

What a Call Option Is

A call option gives you the right — but not the obligation — to purchase 100 shares at a predetermined strike price before a specific expiration date. You pay a premium for this right. Stock rises above the strike = call gains value. Stock falls, stays flat, or rises only slightly = call loses value and can expire completely worthless.

CONCEPT 2

What a Put Option Is

A put option gives you the right to sell 100 shares at the strike price before expiration. Put options gain value when the stock falls. Traders use puts to profit from declining stocks, to hedge long positions, or to express a bearish view with a defined maximum loss — the premium paid.

CONCEPT 3

Strike Price and Intrinsic Value

The strike price is the price at which you can buy (call) or sell (put) the shares. When a call's strike is below the current stock price, the call has intrinsic value equal to the difference — it is in-the-money. When the strike is above the stock price, the call has no intrinsic value — it is out-of-the-money and consists only of time value.

CONCEPT 4

Expiration and Time Decay

Every option has an expiration date after which it ceases to exist. Options with more time cost more — there is more time for the stock to move. Options with less time are cheaper but require the move to happen quickly. Weekly options expire every Friday. Monthly options expire on the third Friday of the month. LEAPS expire one to three years in the future.

CONCEPT 5

IV Crush Around Earnings

Implied volatility (IV) represents the market's expectation of future movement. Before earnings, IV rises dramatically because the outcome is unknown. After the company reports, IV collapses regardless of the actual move. This means call buyers who hold options through earnings can lose significant value even when the stock moves in their direction — the volatility premium they paid evaporated.

CONCEPT 6

Futures — ES and NQ

A futures contract is a standardized agreement to buy or sell an asset at a set price on a future date. ES (E-mini S&P 500) and NQ (E-mini Nasdaq 100) are the most actively traded contracts. Each ES point = \$50 per contract. Each NQ point = \$20 per contract. Traders watch pre-market futures to gauge market direction and identify potential gap levels before the equity market opens each day.

CALLS VS PUTS — COMPLETE COMPARISON

FEATURE	CALL OPTION	PUT OPTION
Your right	To buy 100 shares at the strike price	To sell 100 shares at the strike price
You profit when	Stock rises significantly above strike	Stock falls significantly below strike
You lose when	Stock falls, stays flat, or rises only slightly	Stock rises, stays flat, or falls only slightly
Maximum loss	The premium paid (known upfront)	The premium paid (known upfront)
Maximum gain	Theoretically unlimited	Strike price minus premium paid
Breakeven price	Strike price plus premium paid	Strike price minus premium paid
In-the-money when	Stock price is above the strike	Stock price is below the strike
Common uses	Bullish directional trade, upside leverage	Bearish directional trade, portfolio hedge

OPTIONS VS STOCKS VS FUTURES

FEATURE	STOCKS	OPTIONS	FUTURES
Capital required	Full purchase price	Premium only (fraction of value)	Margin deposit
Leverage	None or 2x margin	High — controls 100 shares per contract	Very high
Maximum loss	Full investment	Premium paid — no more	Can exceed investment significantly
Expiration	None	Fixed date — can expire worthless	Fixed date
Time decay	None	Yes — theta erodes value daily	Minimal
Best for	Long-term investing, directional bets	Defined-risk directional trades, hedging	Index speculation, hedging

TST CORE PRINCIPLE

Never buy options right before an earnings announcement without understanding IV crush. When the company reports, implied volatility typically collapses dramatically — regardless of which direction the stock moves. Your call option can lose significant value even if the stock gaps up exactly as you expected, simply because the volatility premium you paid to hold through earnings evaporated.

Full options curriculum with strategy explanations and real trade examples in the TST Academy Options section at topstocktrading.com